ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 07 - SHORT TERM TRADING DEFINING WEEKLY RANGE PROFILES

ICT Monthly Mentorship

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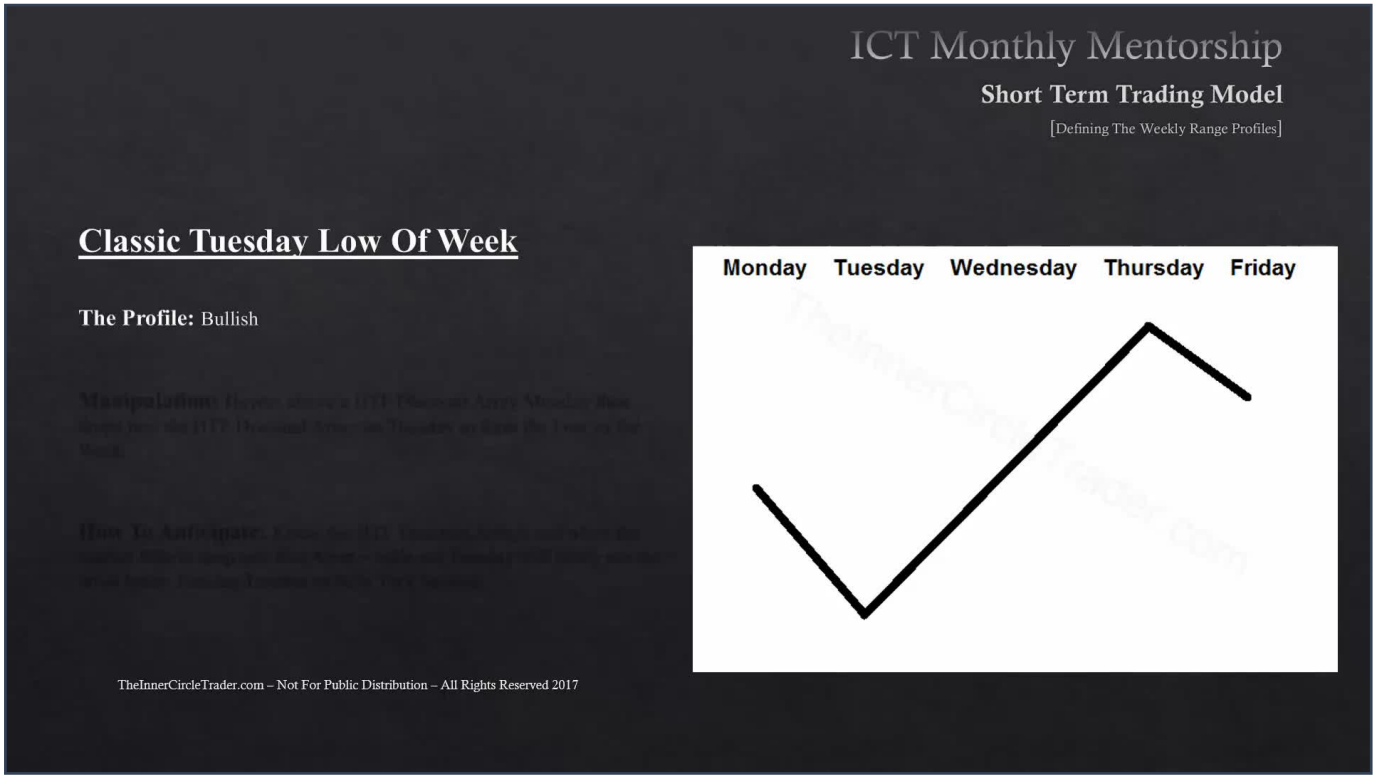
Welcome to Lesson Two of Short-Term Trading March 2017 ICT Mentorship Core Content: Defining the Weekly Range Profiles.

This lesson may appear ambiguous if not carefully studied. Its true impact is solidified by extensively analyzing price data in hindsight, observing how these profiles unfold, and understanding the conditions that consistently serve as precursors to their formation.



This market profile is generally bullish, indicating an expectation for higher prices.

Manipulation Expected:

- Price hovers above a higher time frame discount array on Monday.

- Then drops into a higher time frame discount array on Tuesday to form the low of the week.

How to Anticipate:

- Know the higher time frame discount arrays.

- When the market fails to drop into that array on Monday, odds are Tuesday will likely see the drive lower.

- This drive typically occurs during the Tuesday London open and/or New York session.

CLASSIC TUESDAY HIGH OF THE WEEK

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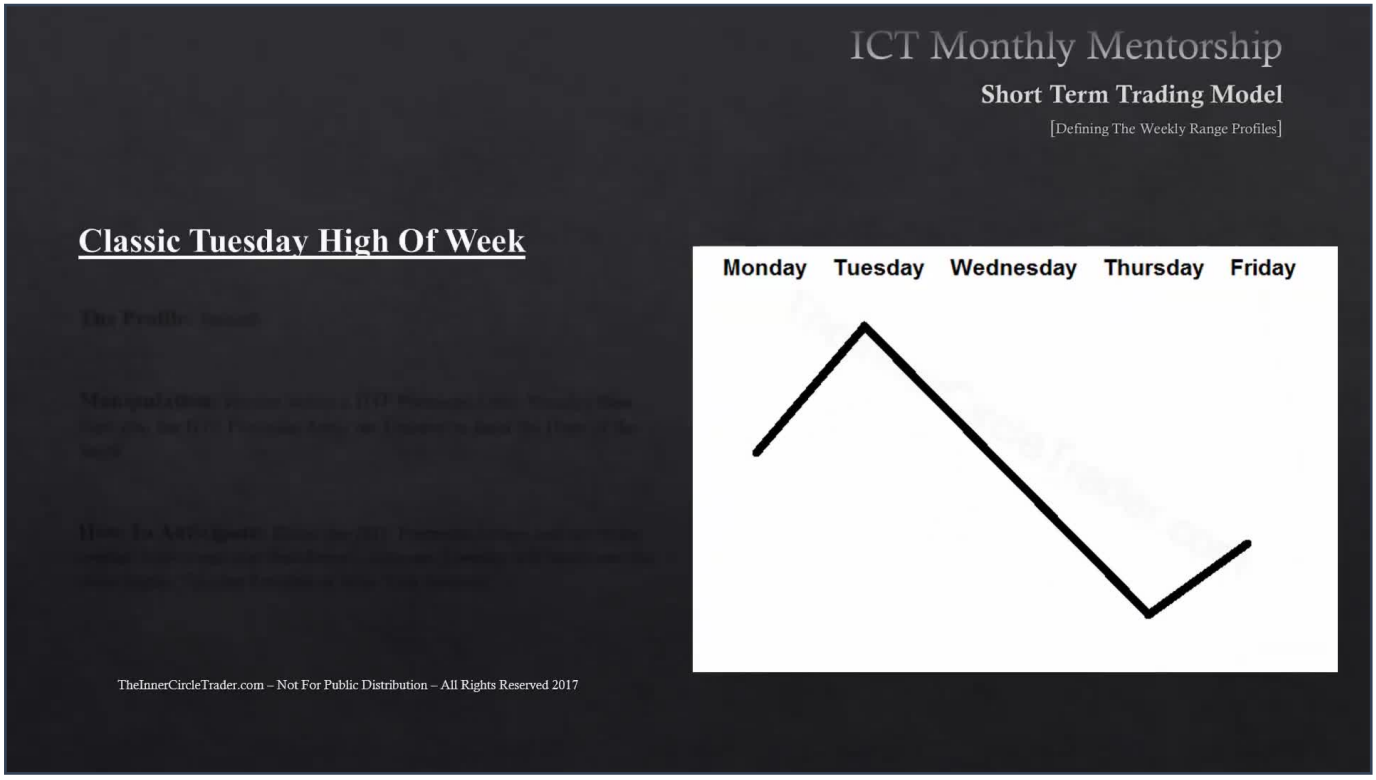
00:01:41



This market profile for the week is generally bearish, indicating an expectation for lower prices.

Manipulation Expected:

- Price hovers below a higher time frame premium array on Monday.

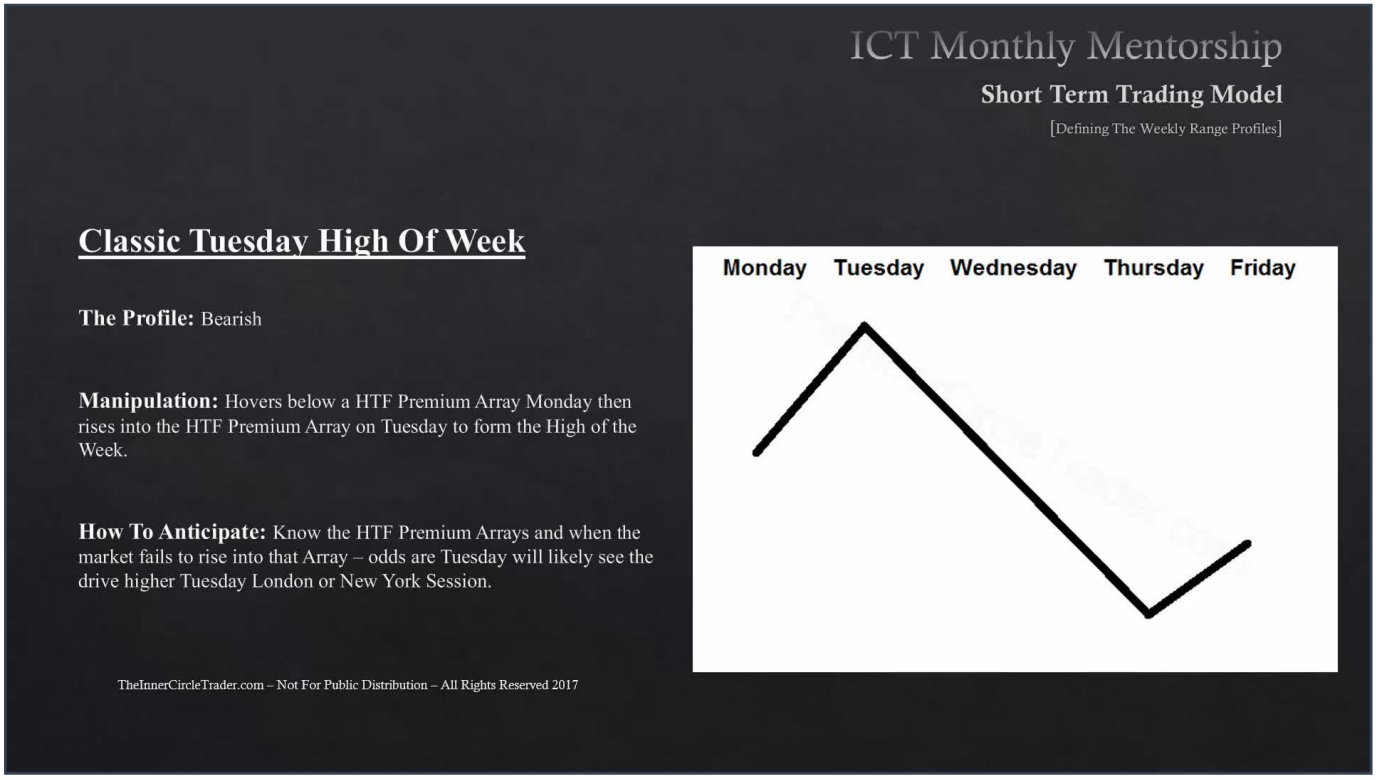
- Then rises into a higher time frame premium array on Tuesday to form the high of the week.

How to Anticipate:

- Know the higher time frame premium arrays.

- When the market fails to rise into that array on Monday, odds are Tuesday will likely see the drive higher.

- This drive typically occurs during the Tuesday London open and/or New York session.

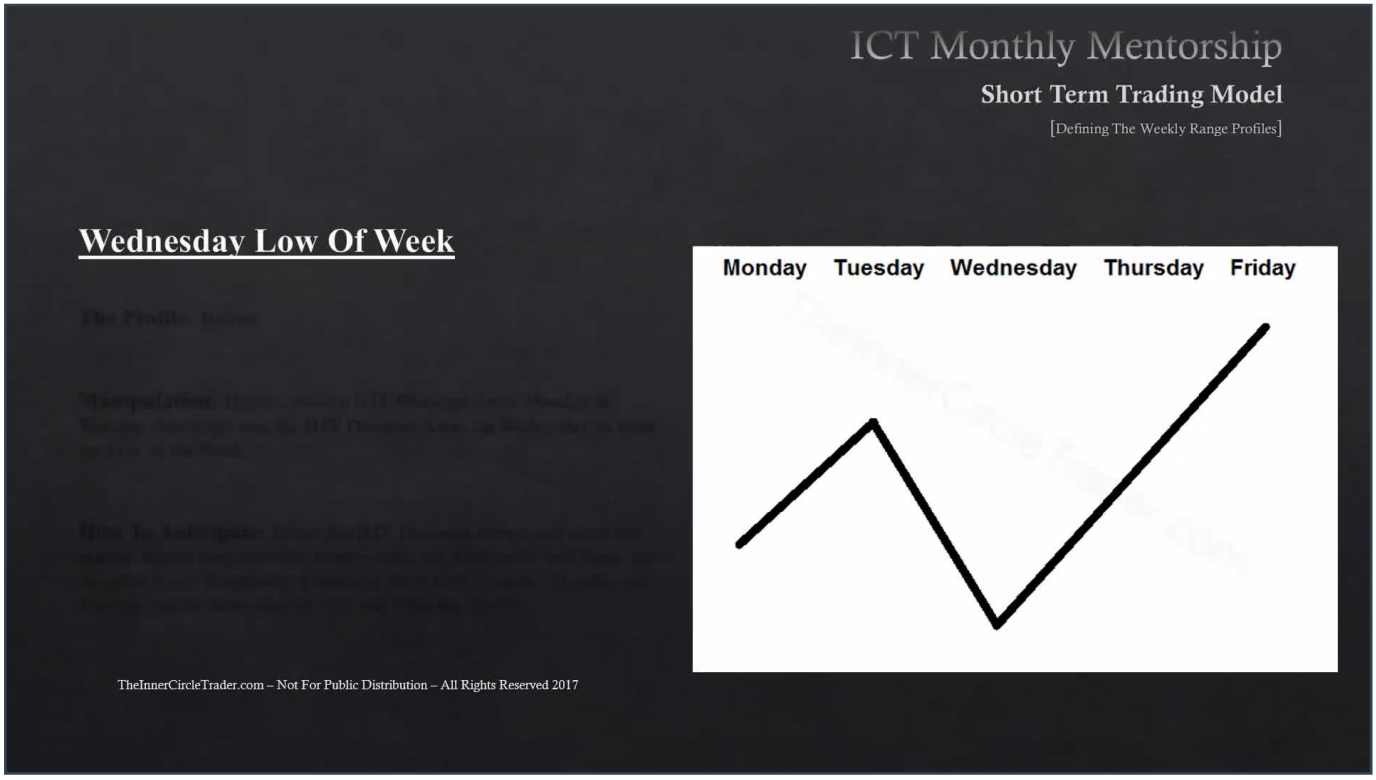


For the Classic Tuesday High of the Week:

- There can be another run higher to make a higher high in the week than the high formed in the London session Tuesday. This means price can come back and run the London High out and still form this profile.

For the Classic Tuesday Low of the Week:

- Price can come back and make a lower low in the New York session. Have this caveat in your notes for both profiles.



This profile is generally bullish, indicating an expectation for higher prices.

Manipulation Expected:

- Price hovers above a higher time frame discount array on Monday and Tuesday.

- Then drops into the higher time frame discount array on Wednesday to form the low of the week.

How to Anticipate:

- Know the higher time frame discount arrays.

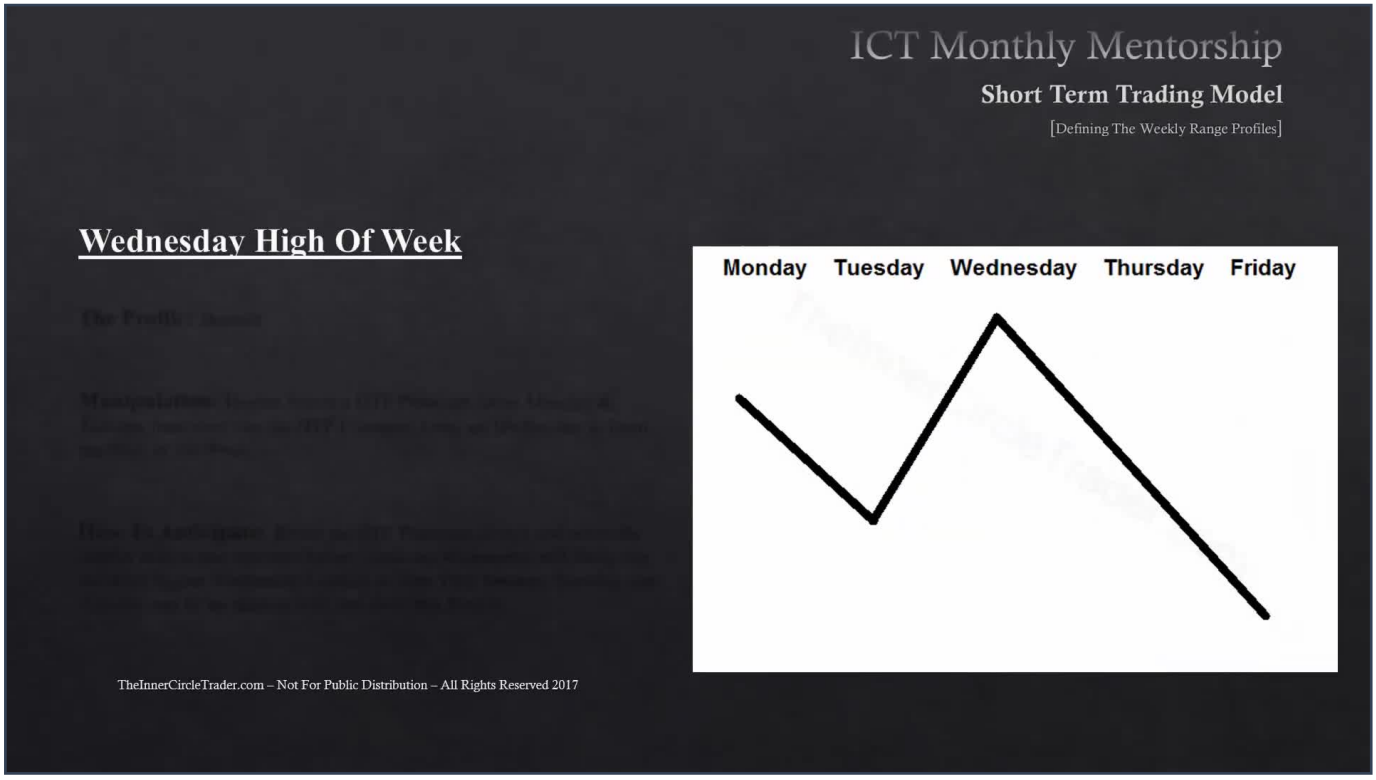
- When the market fails to drop into that array on Tuesday, odds are Wednesday will likely see the drive lower.

- This drive typically occurs during Wednesday's London open and/or New York session.

Additional Notes:

- Monday and Tuesday can also be down days to form this profile.

- The Wednesday London session low can be run out on the Wednesday New York session, and then create the low of the week. Be aware that this can possibly happen.



This profile is generally bearish, indicating an expectation for lower prices.

Manipulation Expected:

- Price hovers below a higher time frame premium array on Monday and Tuesday.

- Then rises into that higher time frame premium array on Wednesday to form the high of the week.

How to Anticipate:

- Know the higher time frame premium arrays.

- When the market fails to rise into that array on Tuesday, odds are Wednesday will likely see the drive higher.

- This drive typically occurs during Wednesday's London open and/or New York session.

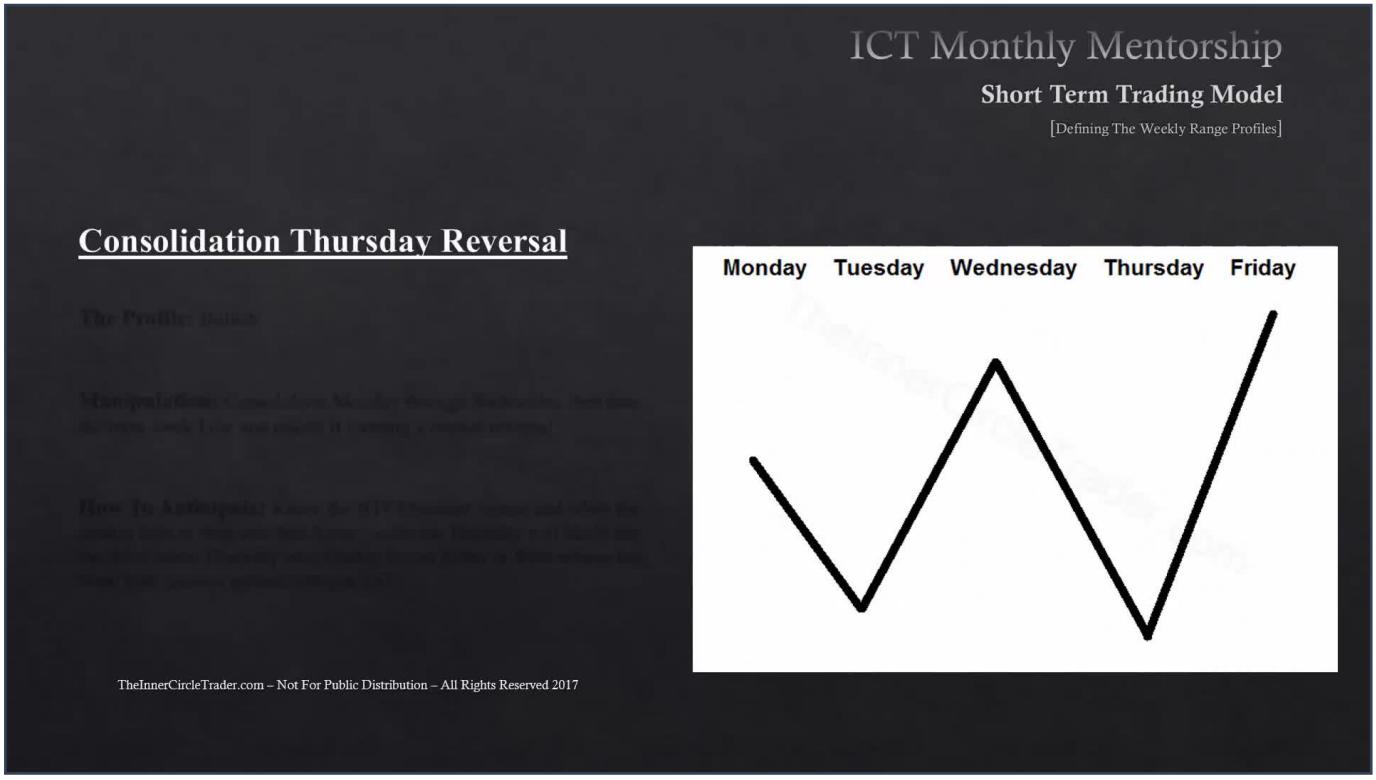
Additional Notes:

- Monday and Tuesday can be up days as well to form this profile.

- Similar to the Wednesday Low of the Week, the London open high on Wednesday can be run out on Wednesday's New York session and still create the high of the week. Have that in your notes.

CONSOLIDATION THURSDAY REVERSAL (BULLISH)

TIMESTAMP: 00:04:40



This indicates a generally bullish market condition.

Manipulation Expected:

- Consolidation occurs Monday through Wednesday.

- Price then runs the intra-week low and rejects it, forming a market reversal.

Key Characteristic:

- The market is consolidating; it's not only going higher or lower Monday through Wednesday.

How to Anticipate:

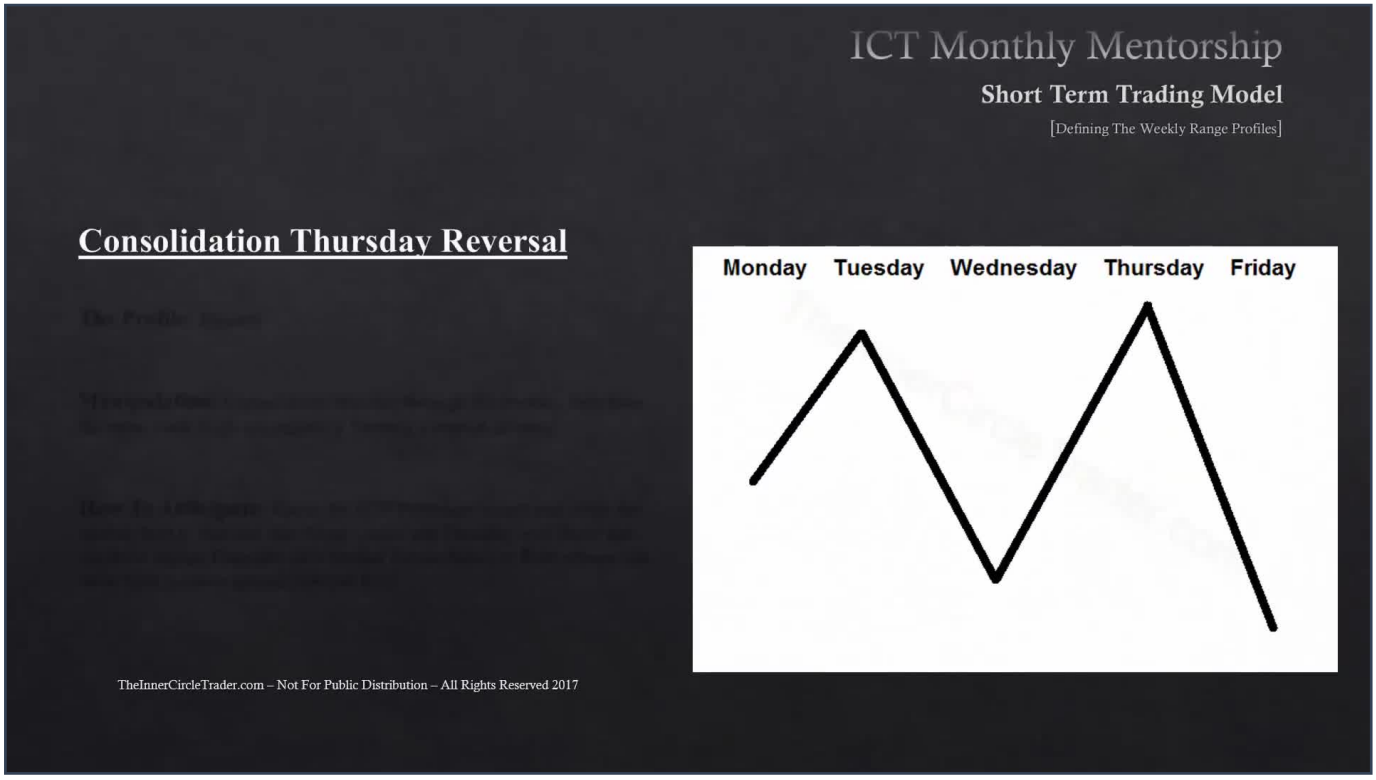
- Know the higher time frame discount arrays.

- When the market fails to drop into that array during the consolidation phase, odds are Thursday will likely see the drive lower on a market driver, news, and/or rate release.

- This typically happens in the late New York session, around 2:00 PM Eastern Standard Time (2 PM New York time).

CONSOLIDATION THURSDAY REVERSAL (BEARISH)

TIMESTAMP: 00:05:34



This indicates a generally bearish market profile.

Manipulation Expected:

- Consolidation occurs Monday through Wednesday.

- Price then runs the intra-week high and rejects it, forming a market reversal.

How to Anticipate:

- Know the higher time frame premium arrays.

- When the market fails to rise into that array during the consolidation phase, odds are Thursday will likely see a drive higher on a market driver, news, or rate release.

- This typically happens in the late New York session, around 2:00 PM New York time.

General Note on Consolidation Thursday Reversals:

- These profiles are generally observed during rate announcements, FOMC meetings, or interest rate adjustments.

CONSOLIDATION MIDWEEK RALLY (BULLISH)

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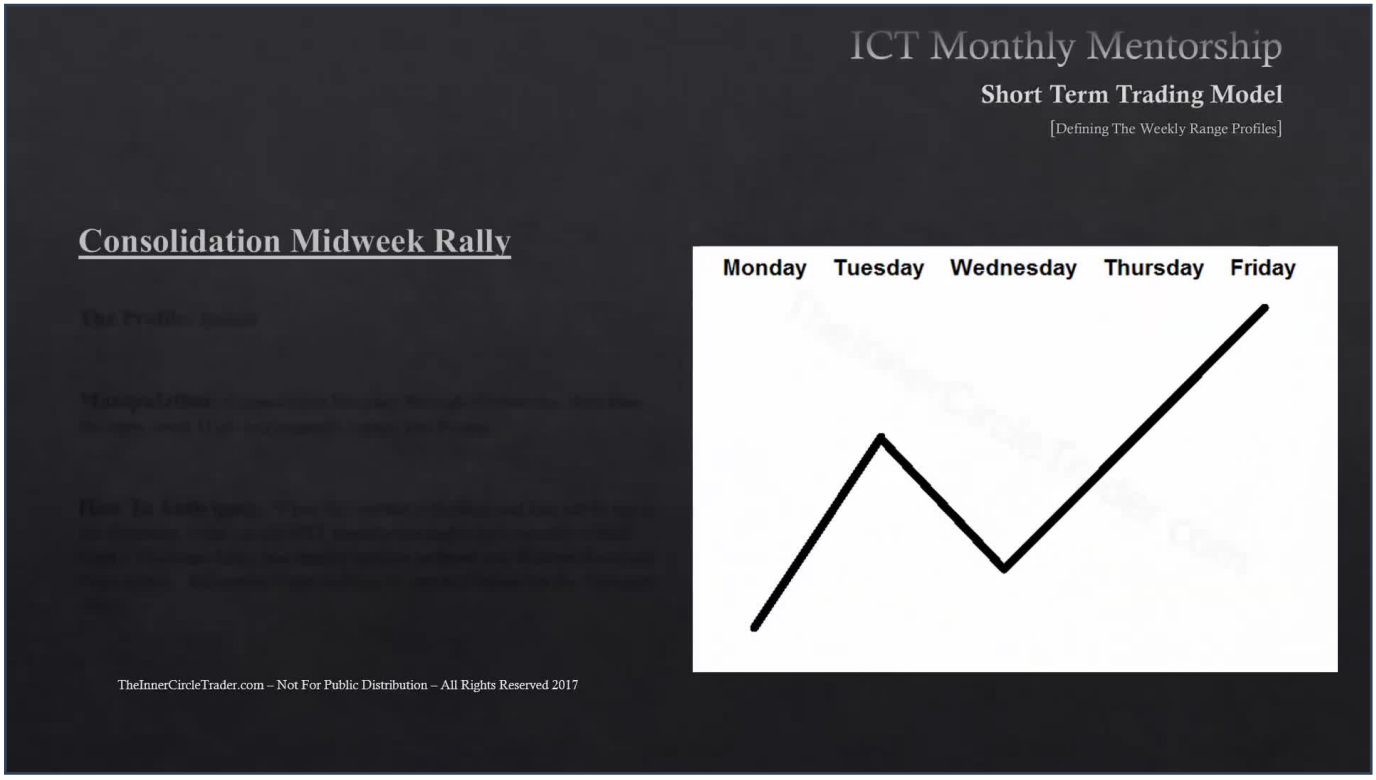
00:06:22



This is a bullish market profile, indicating an expectation for higher prices.

Manipulation Expected:

- Consolidation occurs Monday through Wednesday.

- Price then runs the intra-week high and expands higher into Friday.

How to Anticipate:

- The market is bullish and has yet to run to a premium array on the higher time frames.

- It has recently rallied from a discount array and simply paused without any bearish reversal price action.

- This indicates price is about to expand higher for the premium array.

CONSOLIDATION MIDWEEK DECLINE (BEARISH)

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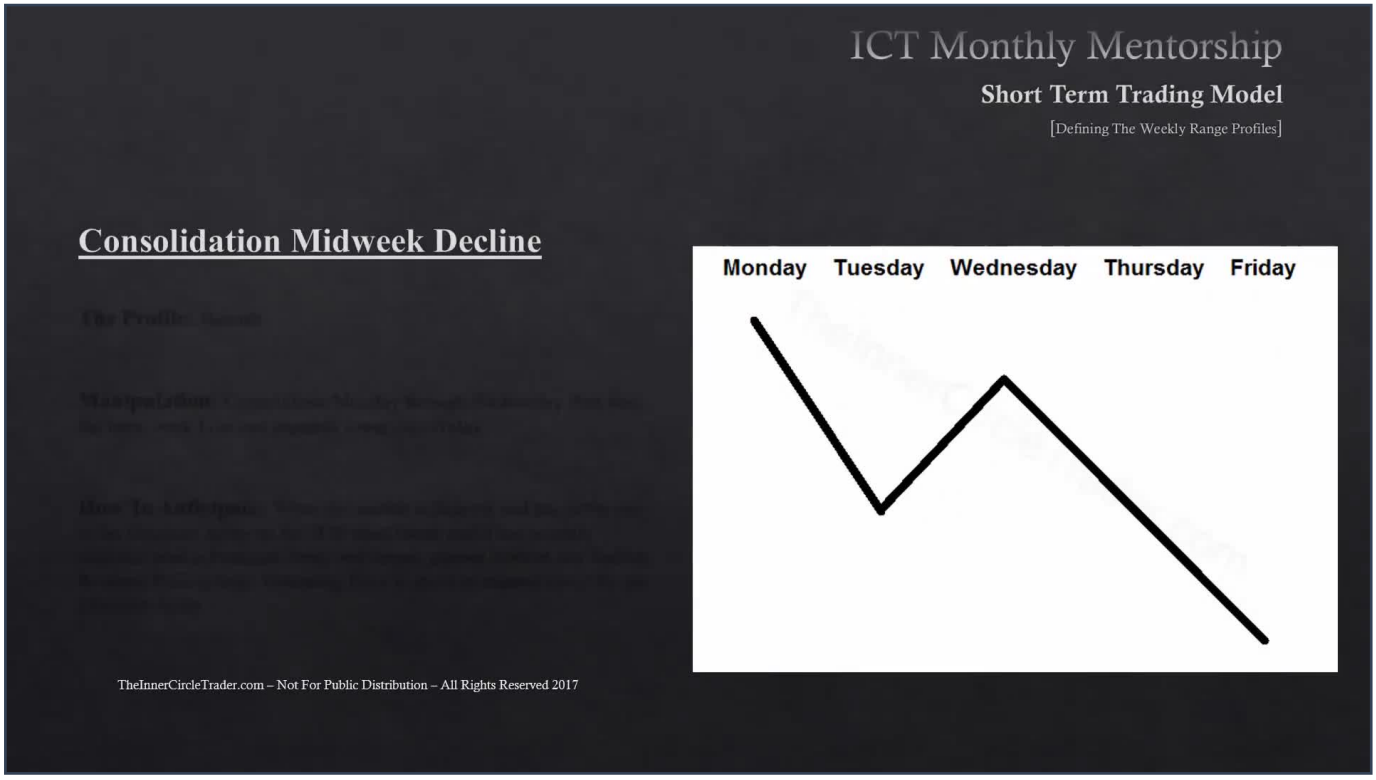
00:07:00



This is a bearish market profile, indicating an expectation for lower prices.

Manipulation Expected:

- Price is consolidating Monday through Wednesday.

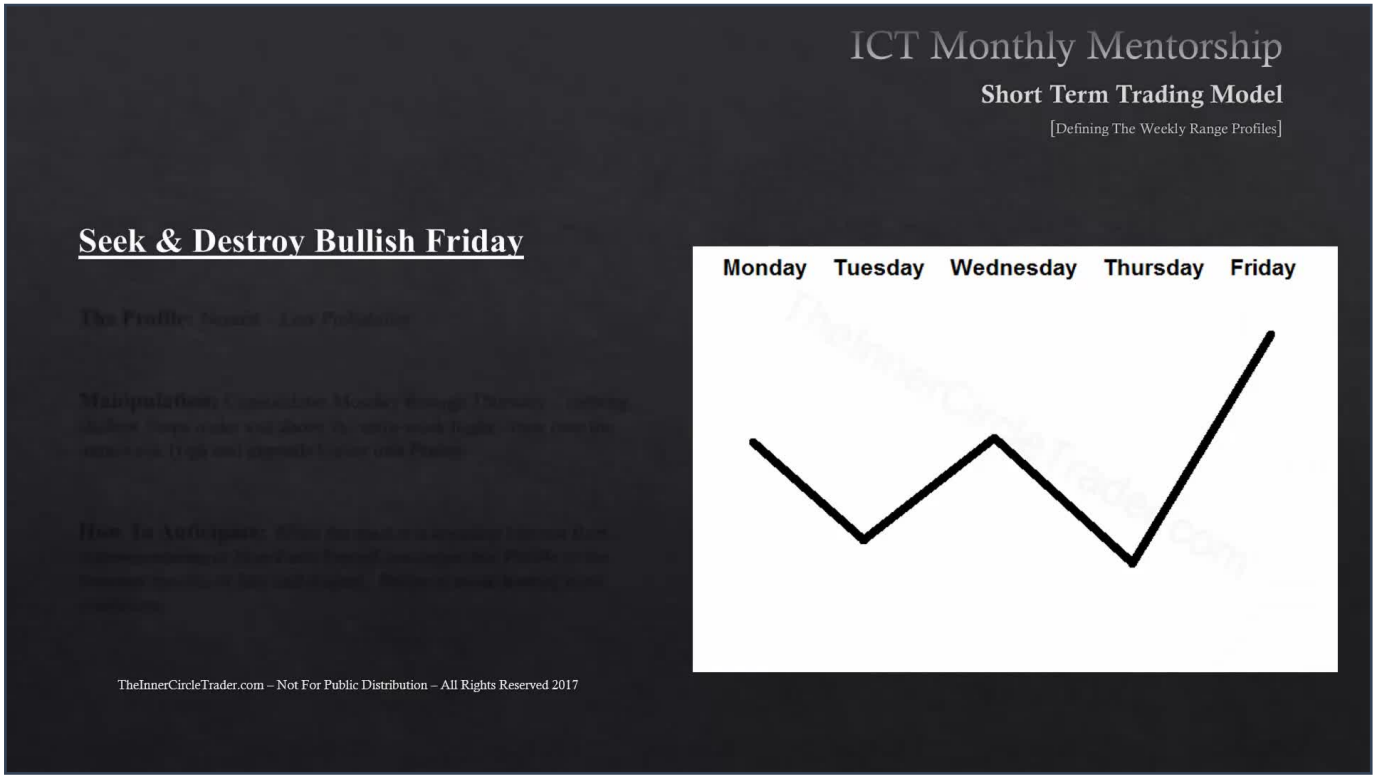
- Then runs the intra-week low and expands lower into Friday.

How to Anticipate:

- The market is bearish and has yet to run to a discount array on the higher time frames.

- It has recently declined from a premium array and simply paused without any bullish reversal price action.

- This indicates price is about to expand lower for the discount array.



This is a neutral or low probability market profile.

Manipulation Expected:

- Price is consolidating Monday through Thursday.

- Running shallow stops under and above the intra-week highs and lows.

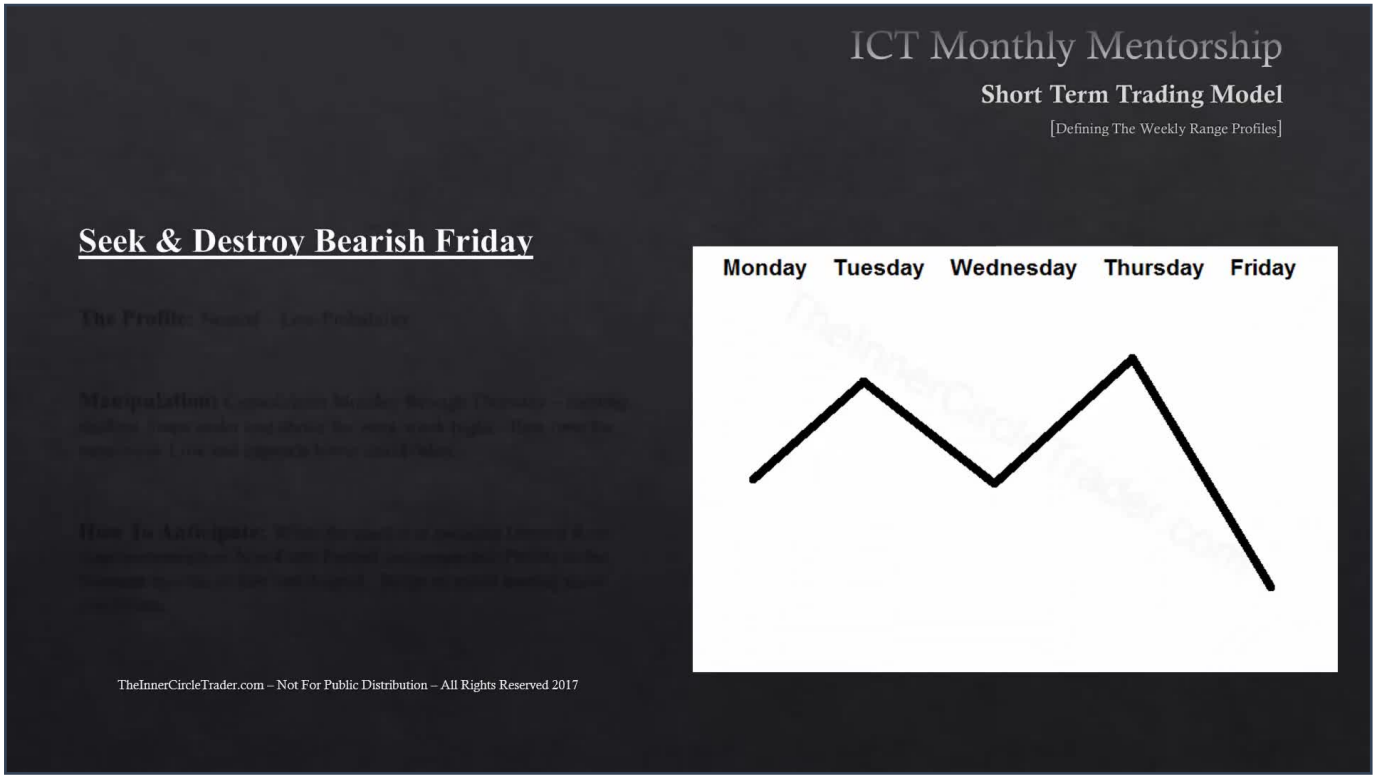
- Then runs the intra-week high and expands higher into Friday.

How to Anticipate:

- This profile can be created when the market is awaiting interest rate announcements and/or Non-Farm Payroll.

- It can also occur in the summer months of July and August.

- It is generally better to avoid trading these conditions altogether.



This is a neutral or low probability market profile.

Manipulation Expected:

- Price is consolidating Monday through Thursday.

- Running shallow stops under and above the intra-week highs and lows.

- Then runs the intra-week low and expands lower into Friday.

How to Anticipate:

- This profile can be created when the market is awaiting interest rate announcements or Non-Farm Payroll.

- It can also occur in the summer months of July and August.

- It is better to avoid these conditions.

WEDNESDAY WEEKLY REVERSAL (BULLISH)

TIMESTAMP:
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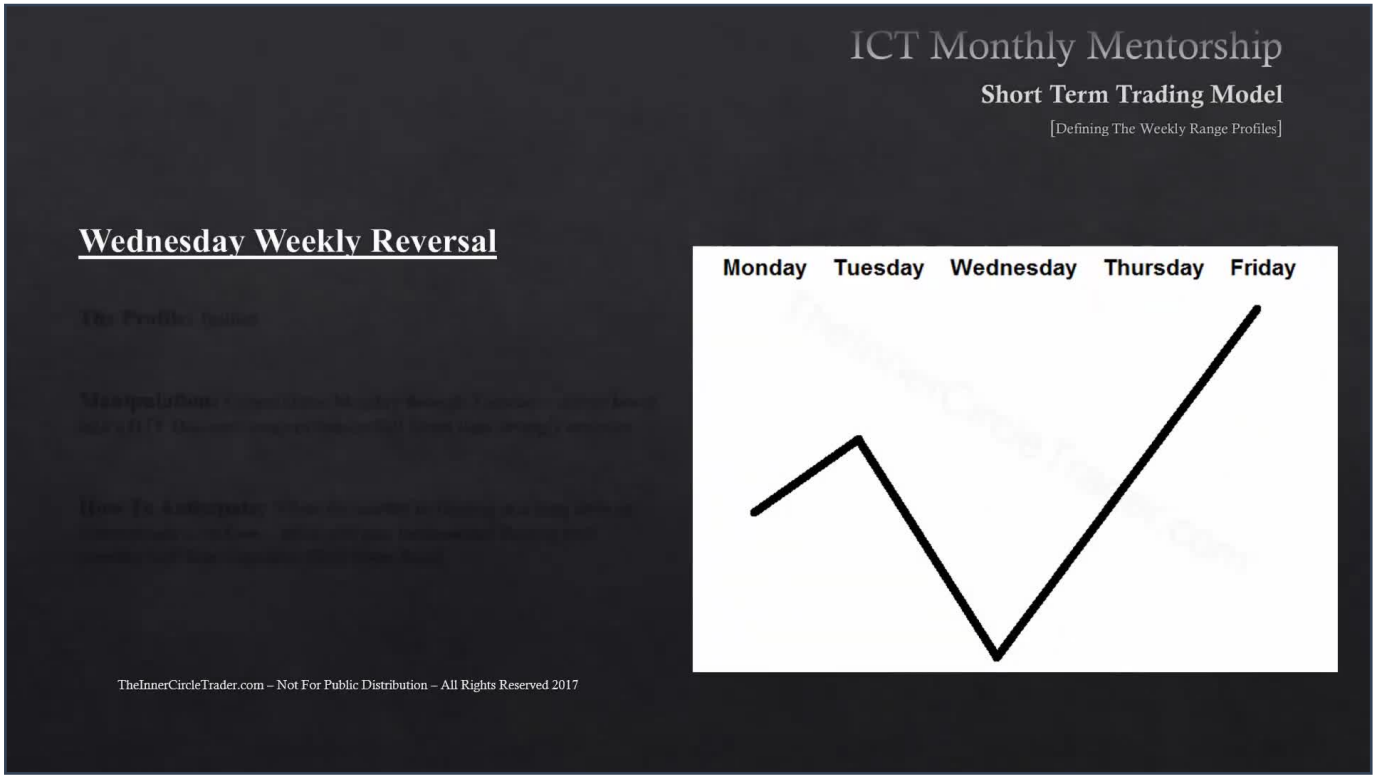

This market profile is bullish, indicating an expectation for higher prices.

Manipulation Expected:

- Price is consolidating Monday through Tuesday.

- Drives lower into a higher time frame discount array to induce sell stops.

- Then strongly reverses.

How to Anticipate:

- When the market is trading at a long-term or intermediate-term low.

- Price will pair institutional buying with pending sell-side liquidity (traditionally known as a sell stop raid).

WEDNESDAY WEEKLY REVERSAL (BEARISH)

TIMESTAMP:
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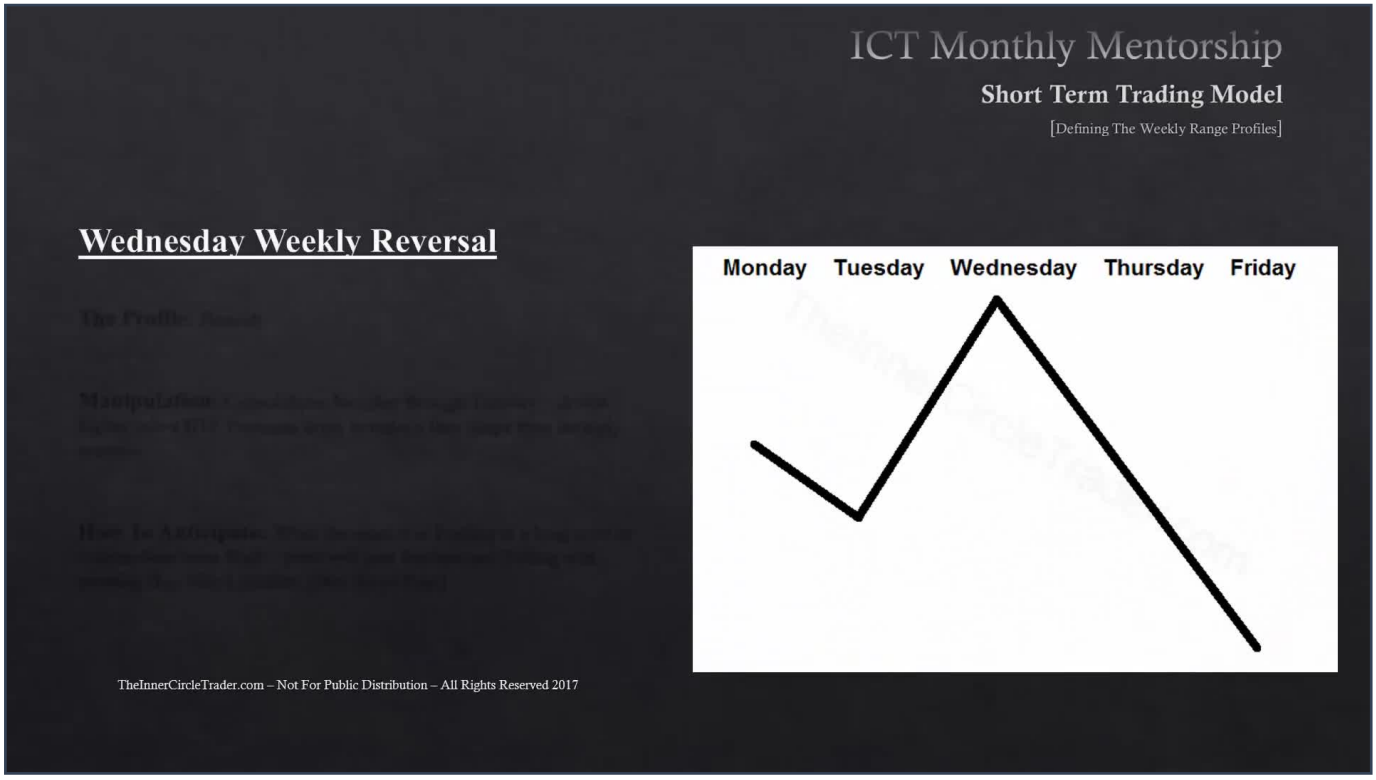


This market profile is bearish, indicating an expectation for lower prices.

Manipulation Expected:

- Price is consolidating Monday through Tuesday.

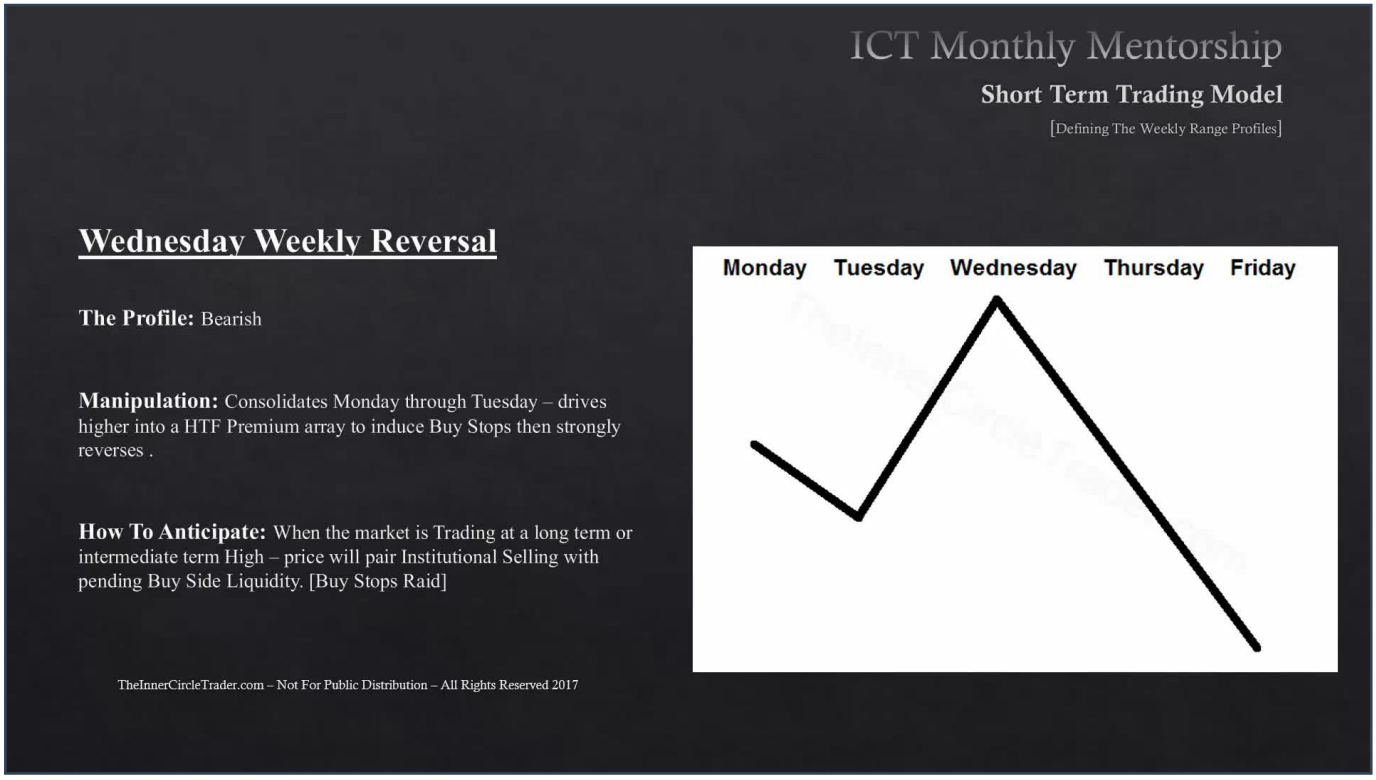
- Drives higher into a higher time frame premium array to induce buy stops.

- Then strongly reverses.

How to Anticipate:

- When the market is trading at a long-term or intermediate-term high.

- Price will pair institutional selling with pending buy-side liquidity (otherwise known as a buy stop raid).



While these explanations may seem simplistic, their impact will be truly appreciated when you apply them to price action.

Recommended Practice:

- Go through price action using a one-hour chart.

- Select any pair and any segment of time, going back as far as you wish.

- Break down price and define these moves based on the profiles discussed.

- Look at the characteristics of what is occurring prior to these market profiles forming.

- You will observe a recurring theme where the outlined characteristics are generally precursors to these market model profiles.

These insights will be further explored when examining market maker templates and will be frequently referenced.